



United States
Attorney's Office
District of Massachusetts



New York Man Pleads Guilty to \$70 Million Kickback Scheme

Wednesday, June 11, 2025

For Immediate Release

U.S. Attorney's Office, District of
Massachusetts

BOSTON – A New York-based director of operations and sales for the Northeast region of a mobile medical diagnostics company pleaded guilty yesterday in federal court in Boston to conspiring to offer and pay kickbacks to doctors in exchange for ordering medically unnecessary brain scans.

James Rausch, 57, of Port Jefferson Station, N.Y., pleaded guilty to one count of conspiracy to violate the anti-kickback statute. U.S. District Court Judge Nathaniel M. Gorton scheduled sentencing for July 10, 2025. Rausch was charged [in May 2025](#).

From approximately March 2015 through approximately September 2020, Rausch conspired with others, including two managers for a mobile medical diagnostics company that performed transcranial doppler (TCD) scans, to enter into kickback agreements with various doctors. TCD scans are brain scans that measure blood flow in parts of the brain. Rausch and his alleged co-conspirators agreed to offer and pay doctors kickbacks, some in cash and others by check, based on the number of TCD ultrasounds the doctors ordered. Rausch and his alleged co-conspirators created purported rental and administrative service agreements, which on paper made it appear as if doctors were compensated for the TCD company's use of space and administrative resources of the ordering doctor's practice based on fair market value and not based on the volume or value of referrals. These agreements were shams that hid the true nature of the arrangement of paying per test.

The scheme as a whole resulted in fraudulent bills of approximately \$70.6 million to Medicare. Medicare paid approximately \$27.2 million to the TCD company for the fraudulent claims.

The charge of conspiracy to violate the Anti-Kickback Statute provides for a sentence of up to five years in prison, three years of supervised release and a fine of up to \$250,000. Sentences are imposed by a federal district court judge based upon the U.S. Sentencing Guidelines and statutes which govern the determination of a sentence in a criminal case.

United States Attorney Leah B. Foley; Roberto Coviello, Special Agent in Charge of the U.S. Department of Health and Human Services, Office of Inspector General; Kimberly Milka, Acting Special Agent in Charge of the Federal Bureau of Investigation, Boston Division; Thomas Demeo, Acting Special Agent in Charge of the Internal Revenue Service’s Criminal Investigation Division, Boston Field Office; Kelly M. Lawson, Acting Regional Director of the U.S. Department of Labor, Employee Benefits Security Administration, Boston Regional Office; Ketty Larco-Ward, Inspector in Charge of the U.S. Postal Inspection Service, Boston Division; and Christopher Algieri, Special Agent in Charge of the U.S. Department of Veterans Affairs Office of Inspector General, Northeast Field Office made the announcement. Assistant U.S. Attorneys Howard Locker and Mackenzie A. Queenin of the Health Care Fraud Unit are prosecuting the case.

Updated June 13, 2025

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HEALTHCARE FRAUD

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